Consols
Preferred Bonds

Question # 6
A risk-averse investor will:
Select correct option:

Always prefer an investment with a lower expected return
Always prefer an investment with a certain return to one with the same expected return
but any amount of uncertainty
Always require a certain return
Always focus exclusively on the expected return

Question # 7
GDP deflator is called
Select correct option:

Retailer price index
Consumer price index
Producer price index
None of above

Question # 8
What will be the effect on the present value if we double the future value of the payment?
Select correct option:

It will decrease the value by one-half
It will increase the value by one-half
It will equally increase the value i.e. doubles the value
It will have no effect on the value

Question # 9
Government bonds called …….. Where as corporate bonds are called ……
Select correct option:

Zero coupon bond, coupon bond
Risky bond. Risk free bond
T bill, corporate bond
Console bond, junk bonds

Question # 10
Beside default risk which one if the following factor affects the return on bond?
Select correct option:

Taxes
Monetary policy
Junk bonds
Debt

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Question # 11
Which of the following are used to monitor and stabilize the economy?
Select correct option:
- Stock exchanges
- Commercial Banks
- Central Banks
- Financial institutions

Question # 12
What will be the result of the difference of real and nominal interest rate?
Select correct option:
- The cost of borrowing
- The effect of inflation
- The price of bonds
- The return of bonds

Question # 13
Which of the following expresses 6.5%?
Select correct option:
- 0.0065
- 6.50
- 0.650
- 0.0650

Question # 14
Diversification is the principle of:
Select correct option:
- Holding more than one risk at a time
- Reducing the risks we carry to just two
- Creating risk to increase returns
- Eliminating investments from our portfolio that have idiosyncratic risk

Question # 15
Current accounts of commercial bank lies in which money aggregate definition?
Select correct option:
- Currency
- M1
- M2
- M3

Question # 16
Which of the following would be considered characteristic of money?
Select correct option:
- It is store of value
- It pays a higher return than most assets

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It is in fixed supply
It is legal tender everywhere in the world

Question # 17
When the price of a bond is above face value:
Select correct option:
The yield to maturity will be above the coupon rate
The yield to maturity is below the coupon rate
The yield to maturity will equal zero
The yield to maturity will equal the coupon rate

Question # 19
_____ is the value today of a payment that is promised to be made in the future.
Select correct option:
Future value
Present value
Agreed value
None of the given options

Question # 20
Which of the following best describes default risk?
Select correct option:
The chance the issuer will be unable to make interest payments or repay principal
The chance the issuer will retire the debt early
The chance the issuing firm will be sold to another firm
The chance the issuer will sell more debt

Question # 21
Considering the Liquidity Premium Theory, if investors expect short term interest rates to decrease:
Select correct option:
The yield curve must have a positive slope
The yield curve must be inverted
The yield curve could be flat
The slope of the yield curve should actually increase

Question # 23
Which of the following would probably NOT earn an A rating from Standard & Poor's:
Select correct option:
30 years bond issued by the U.S. Treasury
New vegetarian fast-food chain
90 days T-Bills issued by the U.S. Treasury
Both 30 years bond and 90 days T-Bills issued by U.S. Treasury

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Question # 24
If YTM is greater than the coupon rate the price of the bond is _____.
Select correct option:
- Greater than its face value
- Lower than its face value
- Equals to its face value
- All of the given options

Question # 25
If the annual interest rate is 6%, the price of a 1-year Treasury bill with $100 face value would be:
Select correct option:
- $94.00
- $94.33
- $95.25
- $96.10

Question # 26
Time affects the value of which of the following?
Select correct option:
- Financial Instruments
- Financial Markets
- Financial Institutions
- Central Banks

Question # 27
A risk-averse investor will:
Select correct option:
- Always prefer an investment with a lower expected return
- Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty
- Always require a certain return
- Always focus exclusively on the expected return

Question # 28
Investors will hold higher compensation for the _____ investment.
Select correct option:
- More risky
- Less risky
- Fixed return
- Less dividend

Question # 29
An increase in the expected inflation shifts the bond demand to the _____.
Select correct option:

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Right
Left
No change
All of the given options

Question # 30
You receive a check for $100 two years from today. The discounted present value of this $100 is:
Select correct option:
$100/(1+i)
$100*(1+i)2
$100*(1+i)
$100/(1+i)2

Question # 31
Which of the following is NOT an example of financial institutions?
Select correct option:
Banks
Securities firms
Stock exchanges
Insurance companies

Question # 32
The bond rating of a security refers to which of the followings?
Select correct option:
The size of the coupon payment relative to the face value
The return a holder is likely to receive
The likelihood the lender/borrower will be repaid by the borrower/issuer
The years until the bond matures

Question # 33
Yield curves show which of the followings?
Select correct option:
The relationship between bond interest rates (yields) and bond prices
The relationship between liquidity and bond interest rates (yields)
The relationship between risk and bond interest rates (yields)
The relationship between time to maturity and bond interest rates (yields)

Question # 34
Which of the following best expresses the proceeds a lender receives from a simple loan?
Select correct option:
PV(1 + i)
FV/i

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PV + i
PV/i

Question # 35
When the price of a bond is above face value:
Select correct option:
The yield to maturity will be above the coupon rate
The yield to maturity is below the coupon rate
The yield to maturity will equal zero
The yield to maturity will equal the coupon rate

Question # 36
What will the yield curve look like if future short-term interest rates are expected to rise sharply?
Select correct option:
It will steeply slope upward
It will be horizontal
It will slightly slope upward
It will slope downward

Question # 37
When a bond becomes more liquid relative to its alternatives, the demand curve for bonds shifts to the:
Select correct option:
Right
Left
No change
None of the given options

Question # 38
Debt instruments is categorized on the basis of which one of the following?
Select correct option:
Loan maturity period
Interest rates
Mode of payment of interest
Amount of the debt taken

Question # 39
Expectation hypothesis focuses on which one of the following?
Select correct option:

Risk premium
Risk free interest rate
Yield to maturity
None of the given options

Note: Solve these papers by yourself
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Reference:
Expectations Hypothesis
The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question # 40
What characteristic of money is not included in securities characteristics
Select correct option:
- Mean of payment
- Unit of account
- Store of value
- Transfer of risk

Question # 41
Which one of the following is the narrowest definition of money?
Select correct option:
- C
- M1
- M2
- M3

Question # 42
Which one of the following is a component of wealth that is held in a readily spendable form?
Select correct option:
- Money
- Bonds
- Stocks
- Income

Question # 43
A loan that is used to purchase the real estate is known as:
Select correct option:
- Real estate loan
- Home mortgages
- Fixed payment loan
- Home loan

Question # 44
The default premium:
Select correct option:
- Is positive for a U.S. Treasury bond
- Must always be less than 0 (zero)
- Is also known as the risk spread

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Is assigned by a bond rating agency

Question # 45
A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:
Select correct option:

Demand curve
Supply curve
Yield curve
Leffer curve

Question # 46
Which of the following best describes checks?
Select correct option:

A means of payment
Money
Not a promise of any kind
Not acceptable by the U.S. Government for payment of taxes.

Question # 47
With direct finance we mean which of the following?
Select correct option:

Individuals (or firms) borrow directly from the savers
Individuals (or firms) borrow directly from banks.
Individuals deposit savings directly in banks.
Firms deposit savings directly in banks.

Question # 48
Which of the following best expresses the payment a lender receives for lending their money for four years?
Select correct option:

PV(1+i)4
PV/(1 + i)4
4PV
PV/(1 - i)4

Question # 49
Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?
Select correct option:

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Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
Taxable bond yield is always greater than tax exempt bond
Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question # 50
In which of the following bonds we may ignore the default risk?
Select correct option:

Privately issued bonds
Government issued bonds
Bonds issued by Corporate
All of the given options

Question # 51
Which of the following is the least liquid of all?
Select correct option:

Money
Bonds & stocks
Lands & buildings
None of the given options

Question # 52
What is primary cause of inflation?
Select correct option:

Energy crises
Gold reserve shortage
Issue excessive currency
Rising cost of input

Question # 53
The risk premium for an investment:
Select correct option:

Increases with risk
Is a fixed amount added to the risk free return
Is negative for U.S. Treasury Securities
Is negative for risk averse investors

Reference:
Page 35

Question # 54
Which of the following is the measure of likelihood that an event will occur?
Select correct option:

Risk
Probability

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Frequency
Outcom

Question # 55
Which of the following is NOT included in the definition of M1?
Select correct option:
Traveler's checks
Demand deposits
Currency
Gold coins issued by treasury

Question # 56
The liquidity premium theory suggests that yield curves should usually be:
Select correct option:
Up-sloping
Inverted
Flat
Up-sloping through year 1, then flat thereafter

Question # 57
If the tax rate is higher than gap between yield on taxable and tax exempt bond?
Select correct option:
Shorter
Wider
No gap
Any thing can be possible

Question # 58
The reason for the government to get involved in the financial system is to:
Select correct option:
Protect investors
Ensure the stability of the financial system
Protect bank customers from monopolistic exploitation
All of the given options
Reference:
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Question # 59
Financial instruments are evolved just as _____.
Select correct option:
Currency
Stock
Bond
Commodity

Question # 60
The longer the time (n) until the payment:
Select correct option:
- The lower the present value
- The higher the present value because time is valuable
- The lower must be the interest rate
- Time has no effect on present value

Question # 61
Core principles of Money and Banking include each of the following except?
Select correct option:
- People act rationally
- Time has value
- Information is the basis for decisions
- Risk requires compensation

Question # 62
Which of the following would be included in a definition of risk?
Select correct option:
- Risk is a not measure of uncertainty
- Risk is unavoidable
- Risk doesn't have a time horizon
- Risk seldom involves some future payoff

Question # 63
The lowest rating for an investment grade bond assigned by Moody's is:
Select correct option:
- BBB
- ABB
- Baa
- Aaa

Question # 64
The concept of limited liability says a stockholder of a corporation:
Select correct option:
- Is liable for the corporation's liabilities, but nothing more
- Cannot receive dividends that exceed their investment
- Cannot own more than fiver percent of any public corporation
- Cannot lose more than their investment

Question # 65
Coupon bonds make the annual payments which are called as _____.
Select correct option:
- Annual payments
- Fixed payments

Note: Solve these papers by yourself
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Coupon payments
Maturity payment

Question # 66
The current yield on a $10,000, 5% coupon bond selling for $8,000 is:
Select correct option:
5.00%
6.25%
7.50%
8.00%

Question # 67
Home loans and car loans are the example of which one of the following?
Select correct option:
Mortgage loans
Pledge
Fixed Payment Loans
Ordinary loan

Question # 68
What is difference between warrant and check?
Select correct option:
Check is cleared from bank but warrant is not cleared by bank
Check is not necessarily pay able on demand but warrant is payable on demand
Warrant is not necessarily pay able on demand but check is payable on demand
None of above

Question # 69
The slope of the yield curve seems to predict the performance of the economy with:
Select correct option:
Usually 3 months lag
Usually two years lag
Usually within few weeks
Usually one year lag

Question # 70
What is true about the relationship between standard deviation and risk?
Select correct option:

Greater the standard deviation greater will be the risk
Greater the standard deviation lower will be the risk
Greater the standard deviation risk remains the same
No relation between them

Question # 71

If YTM equals the coupon rate the price of the bond is _____.
Select correct option:

Greater than its face value
Lower than its face value
Equals to its face value
Insufficient information

Question # 72
The Financial Systems makes it easier to trade because it:
Select correct option:

Facilitate Payments
Channels Funds from Savers to Borrowers
Enables Risk Sharing
All of the given options

Question # 73
Spreading involves:
Select correct option:

Finding assets whose returns are perfectly negatively correlated
Building a portfolio of assets whose returns move together
Investing in bonds and avoiding stocks during bad times
Adding assets to a portfolio that move independently

Question # 74
_____ is the interest rate at which the present value annual reveneu equals the cost of the investment.
Select correct option:

Fixed rate of interest
Internal rate of return
Variable rate of interest
Nominal rate of interest

Question # 75
The GDP deflator is calculated as_____.
Select correct option:

Nominal GDP/Real GDP *100
Real GDP/Nominal GDP
Nominal GDP – Real GDP
Real GDP – Nominal GDP

Note: Solve these papers by yourself
This VU Group is not responsible for any solved content

Question # 76
_____ is the strategy of reducing overall risk by making two investments with opposing risks.
Select correct option:

Spreading the risk
Standard deviation
Hedging the risk
Variance

Question # 77
A _____ is a promise to make a series of payments on specific future date.
Select correct option:

Stock
Bond
Loan
Cheque

Question # 78
Which one of the following is true for financial intermediaries?
Select correct option:

Channel funds from savers to borrowers
Greatly enhance economic efficiency
Have been an source of many financial innovations
All of the given options

Question # 79
There is no guarantee that a bond issuer will make the promised payments is known as which one of the following?
Select correct option:

Default risk
Inflation risk
Interest rate risk
Systematic risk

Question # 80
If a bond sells at a premium, where price exceeds face value, then we would expect to see:
Select correct option:

Market interest rate the same as the coupon rate
Market interest rates above the coupon rate

Note: Solve these papers by yourself
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Market interest rates below the coupon rate
All of the given options

Question # 81
One of major disadvantage of fiat money is
Select correct option:

Only few resources are needed
It may be theft easily
Normally it is obsolete quickly
Pressure or corrupt government may print excessive money

Question # 82
The price of a coupon bond can best be described as:
Select correct option:

The present value of the face value
The future value of the coupon payments and the face value
The present value of the coupon payments
Both The present value of the face value and of the coupon payments

Question # 83
The Segmented Markets Theory of term structure suggests that:
Select correct option:

Investors have strong preferences for bonds of a particular maturity
Investors have no preference for short-term bonds over long-term bonds, or vice versa
Interest rates on long-term bonds strongly influence the demand for short-term bonds
Bonds of different maturities are perfect substitutes for each other

Question # 84
Which of the following patterns of term structure occur most frequently?
Select correct option:

Ascending yield curve
Descending yield curve
Flat yield curve
Humped yield curve

Question # 85
Economic development measured by
Select correct option:

Real GDP/population
Real GDP/ nominal GDP
Real GDP/Real GNP

Note: Solve these papers by yourself
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None of above

Reference:
Financial Development is measured by the commonly used ratio of broadly defined money to GDP. Economic development is measured by the real GDP per capita.

Question # 86
Sum of all the probabilities should be equal to which one of the following?
Select correct option:

Zero
One
Two
Three

Question # 87
A financial instrumnet in which a borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future is called as _____.
Select correct option:

Bond
Bank Loan
Home Mortgage
Futures Contract

Question # 88
A brilliant example of risk require compensation
Select correct option:
Taking a safe debt
Insurance policy
A person work in office
None of above

Question # 89
An increase in wealth shifts the demand for bonds to the _____.
Select correct option:
Left
Right
No change
All of the given options

Question # 90
Internal Rate of Return is _____.
Select correct option:
Present value of investment
Future value of its investment +Cost of investment

Cost of investment
Present value of investment + cost of investment

Question # 91
Previously financial markets are located in which of the following?
Select correct option:
Coffee houses or Taverns
Stock exchanges
Bazaar
Coffee houses and Stock exchanges

Question # 92
At which money aggregate definitions relation is stronger with inflation and growth
Select correct option:
M1
M2
M3
None of above

Question # 93
The shape of the yield curve is usually:
Select correct option:
Upward sloping
Downward sloping
Upward sloping for shorter maturities and downward sloping for longer maturities
Flat

Question # 94
When the auto manufacturing industry does poorly due to a recession this is an example of:
Select correct option:
Idiosyncratic risk
Systematic risk
Risk premium
Unique risk

Question # 95
Mr A need 1000000 to buy a car for his personal use he contact with bank that give his loan this would be called
Select correct option:

Direct finance
Indirect finance
Facilitate payment
All of above

Note: Solve these papers by yourself
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Question # 96
Which one of the following is NOT true for the expectation hypothesis?
Select correct option:

Risk free interest rate can be computed
There is uncertainty in the future
Identifying yield of bond today that will be available next year
It focuses on risk free interest rate and the risk premium

Question # 97
Mark borrows $8,000 and then repays $8,600 to ABC bank. What is the amount of interest in this payment?
Select correct option:

$600
$500
$400
$100

Question # 98
In the long run, the yield curve tends to be which of the following?
Select correct option:

Upward sloping
Downward sloping
Nearly vertical
Nearly horizontal

Question # 99
Which of the following is NOT a depository financial institution?
Select correct option:

Credit Union
Savings and Loan
Commercial bank
Life Insurance Company

Question # 100
Which of the following best describes the relationship between Bond prices and yields?
Select correct option:

Move together inversely
Bond yields do not change since the coupon is fixed
Move together directly
Are independent of each other

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Question # 101
According to the rule of 72 for reasonable rates of return, the time it takes to _____ the money will be t =72/i%
Select correct option:
Doubles
Triples
halves
¾

Question # 102
Which one of the following agencies assesses the default risk of different issuers?
Select correct option:
Insurance companies
Bond issuing
Credit rating
Recruitment agencies

Question # 103
The risk premium of a bond will:
Select correct option:
Higher for investment-grade bonds than for high-yield bonds
Positive but small if the risk of default is zero
Decrease when the default risk rises
Increase when the risk of default rises

Question # 104
The relationship between the price and the interest rate for a zero coupon bond is best described as:
Select correct option:
Volatile
Stable
Non-existent
Inverse

Question # 105
Which is broadly used as money aggregate?
Select correct option:
M1
M2
M3
None of above

Question # 106
Which characteristic are common both in money and securities
Select correct option:
Transfer of risk, store of value

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Unit of account, mean of payment
Mean of payment, transfer of risk
Store of value, mean of payment

Question # 107
According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects
Select correct option:
Short-term interest rates to rise sharply
Short-term interest rates to stay near their current levels
Short-term interest rates to drop sharply
Short-term interest rates does not change

Question # 108
What is the true relationship that exists between default risk and yield?
Select correct option:
Higher the default risk, higher the yield
Lower the default risk, higher the yield
Higher the default risk yield will remain constant
Lower the default risk yield will remain constant

Question # 109
Which of the following financial instruments NOT used primarily as store of value?
Select correct option:
Options
Stocks
Home mortgage
Bonds

Question # 110
Which of the variable measured in point of time?
Select correct option:
Flow variable
Stock variable
Both flow variable and stock variable
None of above

Question # 111
A business cycle downturn shifts the bond supply to the:
Select correct option:
Right
Left
No change
None of the given options

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